Category

**Corporate Governance: Conflicts, Mechanisms, Risks, and Benefits**

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# CORPORATE GOVERNANCE RISKS AND BENEFITS

## Learning Outcome

- describe potential risks of poor corporate governance and stakeholder management and benefits of effective corporate governance and stakeholder management

Corporate governance and stakeholder management play a critical role in the success or failure of corporations. Weak corporate governance, unmanaged conflicts of interest, and/or inadequate stakeholder management mechanisms can place firms at a competitive disadvantage to industry peers. In contrast, strong governance practices and a proper balance among stakeholders' interests are often reflected in increased competitiveness and operational efficiency, better control processes, and improved performance. The role of corporate governance and related mechanisms in mitigating risk extends beyond operations to include legal, regulatory, reputational, and financial risks.

## Operational Risks and Benefits

Corporations with weak control systems, ineffective decision-making, or inefficient monitoring often face adverse results with respect to their operations, performance, and value. In the absence of adequate controls, one stakeholder group may benefit at the expense of others. For example, when the information available to managers is superior to that received by the board or shareholders, audit procedures are poor, or oversight is lacking, managers can make decisions solely for their own benefit. The following example demonstrates the level of fraud and mismanagement that can occur when corporate governance is inadequate.

### The Rise and Fall of Theranos Inc.

Founded in 2003, Theranos raised over USD700 million from venture capital and private investors and was valued at USD10 billion in 2014. The company and its founder and CEO, Elizabeth Holmes, sought to revolutionize health care with breakthrough technology to inexpensively and rapidly identify numerous medical conditions using a test based on a single drop of blood. Its board featured a variety of famous and influential directors over its history, including former US Secretaries of State and directors of the US Centers for Disease Control and Prevention.

In 2015, questions began to surface publicly around the company's blood-testing technology. Whistleblowers came forward to voice concerns about questionable practices, and it became clear that the technology was flawed and that blood test results had been falsified. In 2018, the company, CEO Holmes, and COO Ramesh Balwani were charged with "massive fraud" by the US SEC and the company ceased operations, resulting in a total loss to its shareholders as well as losses to other stakeholders. Holmes was found guilty of four counts of fraud in 2022.

Subsequent investigations uncovered many corporate governance failures at Theranos related to inadequate board composition and oversight, including the following:

- While the board was composed of highly accomplished and well-known individuals, most had little to no knowledge of medical technology.
- Given its lack of medical technology expertise, the board should have hired an independent expert to validate Theranos's innovative technology, which it failed to do. An expert would also have informed the board of the lack of peer-reviewed publications by Theranos, which is highly irregular in the industry.

- The board dismissed fraud allegations raised by whistleblowers and remained silent even after the whistleblowers were fired soon after making their allegations.
- Finally, Theranos operated without filling key management roles such as CFO and global compliance officer, among others.

Strong governance practices involve proper scrutiny and control at all corporate levels. These mechanisms allow for the mitigation of risk factors such as fraud, or at least their identification and control at early stages. Controls are enhanced when overseen by an effective independent audit committee. By having procedures for monitoring compliance with internal and external policies and regulations and for reporting any violations, a firm can mitigate the risks of being exposed to regulator questioning or legal proceedings and their associated costs.

In addition, formal procedures for dealing with conflicts of interest and related-party transactions ensure fair dealing and avoid hidden costs associated with preferential or unfair treatment in favor of a related party.

Effective governance also clarifies the delegation of authority and the reporting lines across a company, ensuring that employees have a clear understanding of their respective responsibilities. In addition, the governance, risk, and compliance (GRC) functions in the organization work in partnership to align interests. These arrangements improve decision-making processes and provide managers with flexibility to respond to opportunities and challenges in a constantly changing environment.

Internal auditors and other internal control mechanisms like compliance and legal departments are an equally important pillar of organizational and governance structures, as they aim to ensure that decisions and activities are properly monitored and controlled to prevent risks and misconduct. These mechanisms improve the operational efficiency of the company. Similarly, when the board defines the risk profile of the firm, sets its strategic direction, and supervises its implementation, managerial decisions and firm operations are better aligned with shareholder interests, paving the way for better operational results.

## Legal, Regulatory, and Reputational Risks and Benefits

Compliance weaknesses in the implementation of regulatory requirements or the lack of proper reporting practices may expose a company to legal, regulatory, or reputational risks. In such cases, the company may be investigated by government or regulatory authorities for violation of applicable laws. A company may also be vulnerable to lawsuits filed by shareholders, employees, creditors, or other parties for breach of contractual agreements or company bylaws or for violation of stakeholders' legal rights. Improperly managed conflicts of interest or governance failures can cause reputational harm to a company, and its associated costs can be significant. Such risks are particularly acute for publicly listed companies subject to scrutiny by investors, analysts, and other market participants, as in the following example.

### Volkswagen AG and Dieselgate

In 2014, an independent study revealed that certain Volkswagen (VW) diesel automobiles had abnormally high emissions in excess of legal limits. VW insisted for a year that the excess emissions were due to technical conditions before admitting to the US Environmental Protection Agency (EPA) in 2015 that it had deliberately manipulated emission test results using illegal software. The emissions software was installed in as many as 11 million Volkswagen and Audi vehicles worldwide, 500,000 of which were sold in the USA. Legal action was taken by governments in the USA, the EU, and elsewhere.

employees who installed the software, and the blatant violation of air quality standards in the communities where the cars were sold. While legal action continues against the company, its management, and certain employees, the impact of the scandal includes the following:

- VW's share price immediately fell by over a third in the days following the announcement of the scandal.
- VW CEO Martin Winterkorn resigned in 2015 and was criminally indicted in the USA and Germany on fraud and conspiracy charges.
- Volkswagen AG has incurred over EUR32 billion (USD37.7 billion) in vehicle recalls, fines, and legal costs.
- Ongoing shareholder lawsuits seek settlements against management and board directors totaling several billion euros in additional damages.



This example illustrates the importance of a company's reputation being based on strong governance and the ability to protect the interests of stakeholders, including customers, government authorities, and ultimately, in Volkswagen's case, shareholders. Employees, creditors, customers, and suppliers often seek to build and maintain long-term relationships with companies that have a reputation for respecting constituent and stakeholder rights. Such a reputation can enhance a company's ability to attract talent, secure capital, improve sales, and reach better terms with suppliers. In addition, ethics education and training for key stakeholders help support strong governance practices. Effective governance enables a company to mitigate risks, underlying conflicts of interest, and agency problems and to maintain stable operations.

## Financial Risks and Benefits

Poor corporate governance, including weak management of creditors' interests, can affect a company's financial position and hinder its ability to honor its debt obligations. A rise in the possibility of corporate default has consequences well beyond creditors and shareholders, extending to managers, employees, and suppliers, and even society and the environment.

Governance arrangements that seek to manage creditor conflicts of interest restrict those corporate actions that would hinder the company's ability to repay its debt and thus reduce its default risk. Default risks are also mitigated by the proper functioning of audit systems, the transparency and better reporting of earnings, and the control of information asymmetries between the company and its capital providers. Lower default risks are associated with a lower cost of debt, as creditors typically require a lower return when their funds are better secured and their rights are protected.

Governance practices at shareholder meetings, as well as internal corporate mechanisms such as the board of directors and its committees, give investors greater assurance that their capital is well managed. These mechanisms help assure investors that their rights to participate in discussions, vote on important matters, and enjoy fair and equal treatment are protected. Investor confidence and the company's credibility in the marketplace are also enhanced by the appropriate and timely disclosure of material information concerning operating, financial, and governance activities. The improved transparency, the integrity of financial reporting processes, and an independent audit promote the trust of shareholders and market participants in both the quality of the firm's reported earnings and the fair representation of its financial position. These controls reduce investors' risk perception of well-governed firms and, therefore, the return required on capital invested in such firms. Consequently, good governance enhances the attractiveness of firms to investors, improves their valuations and stock performance, and reduces their cost of equity.[1] Studies have shown the following:

tend to have stronger market performance during a crisis.[3]

- Board diversity and independence appear to be key factors in firm valuation.[4]

Key questions analysts should consider about a company's corporate governance and stakeholder management include the following:

- What is the company's ownership and voting structure?
- Do board members' skills and experience match the current and future needs of the company?
- How closely does the management team's compensation and incentive structure align with factors expected to drive overall company results?
- Who are the significant investors in the company?
- How strong are company shareholder rights versus its peers?
- How effective is the company in managing long-term risks and sustainability?

An analysis of these areas and questions—for which a company's proxy statements, annual reports, and sustainability reports are a good starting point—can provide important insights about the quality of management and sources of potential risk.



## Question Set

**1.** Which of the following is *not* a benefit of an effective corporate governance structure?

**A.** Operating performance can be improved.
**B.** A corporation's cost of debt can be reduced.
**C.** Corporate decisions and activities require less control.

Hide Solution

**Solution:**

C is correct. A benefit of an effective corporate governance structure is to enable adequate scrutiny and control over operations.

A is incorrect, because improved operating efficiency may indeed be a benefit of an effective corporate governance structure.

B is incorrect, because an effective governance structure can reduce investors' perceived credit risk of a corporation, thus potentially lowering the corporation's cost of debt.

**2.** An investment analyst would likely be *most* concerned about an executive compensation plan that:

**A.** varies each year.
**B.** is consistent with the compensation plans of a company's competitors.
**C.** is cash-based only, without an equity component.

Hide Solution

**Solution:**

C is correct. If an executive remuneration plan offers cash only, the interests of management and investors (and other stakeholders) may be misaligned. An equity-based compensation plan is commonly used to align management interests with those of shareholders.

A is incorrect, because a plan that varies over time would typically be of less concern to an analyst compared with one that did not change.

**A.** avoidance of fraud.
**B.** higher investor confidence.
**C.** reduced cost of equity.

Hide Solution

**Solution:**

A is correct. Effective corporate governance allows for the mitigation, not the avoidance, of risk factors such as fraud, or at least their identification and control at early stages.

B and C are incorrect, as these are both benefits of effective corporate governance.

**4.** Your colleague suggests that governance and controls are bureaucratic and slow down decision-making and value creation at companies. Discuss.

Hide Solution

**Solution:**

Strong governance practices and a proper balance among stakeholders' interests are often reflected in increased competitiveness and operational efficiency, better control processes, and improved performance. Studies have shown that listed companies with experienced audit committees possessing financial expertise tend to have stronger market performance during a crisis, and board independence and diversity appear to be key factors in firm valuation—particularly for initial public offerings—and play an important role in value creation and value protection for firms.

However, governance and controls can be ineffective and slow down decision-making when the board is too big, there are too many managerial layers, managers lack relevant experience for their role, or the controls consist of a check-the-box approach that fails to produce relevant and actionable information.

**5.** True or False: So long as employees are not represented by labor unions or collective bargaining agreements, management and the board can ignore employee relations.

**A.** True
**B.** False

Hide Solution

**Solution:**

False. For many companies, employees (human capital) are a crucial input to success and the largest category of cost. Employee relations are important whether or not employees are represented by labor unions or collective bargaining agreements, as the quality of their work directly affects customer experience and product or service quality. Employee attrition, productivity losses, the need for repeat training, and poor practices discussed in the press or social media are costly and could result in regulatory action. Companies that build and maintain positive, long-term relationships with employees can develop a competitive advantage.

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